2025 College Fed Challenge

Balancing Risks in a Data Dependent Time

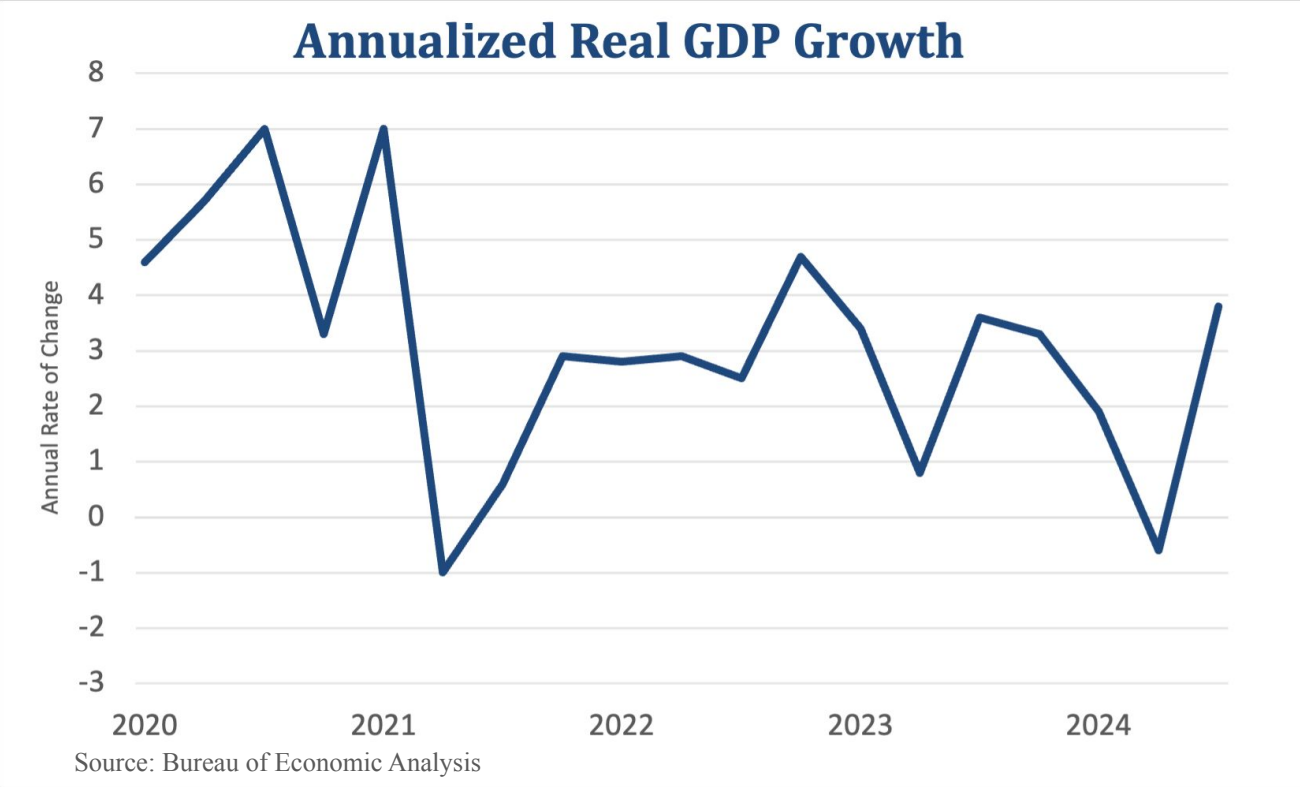
Agenda

1. Growth
2. Labor
3. Prices
4. Financial
5. Policy Recommendation



Growth

GDP growth has been volatile

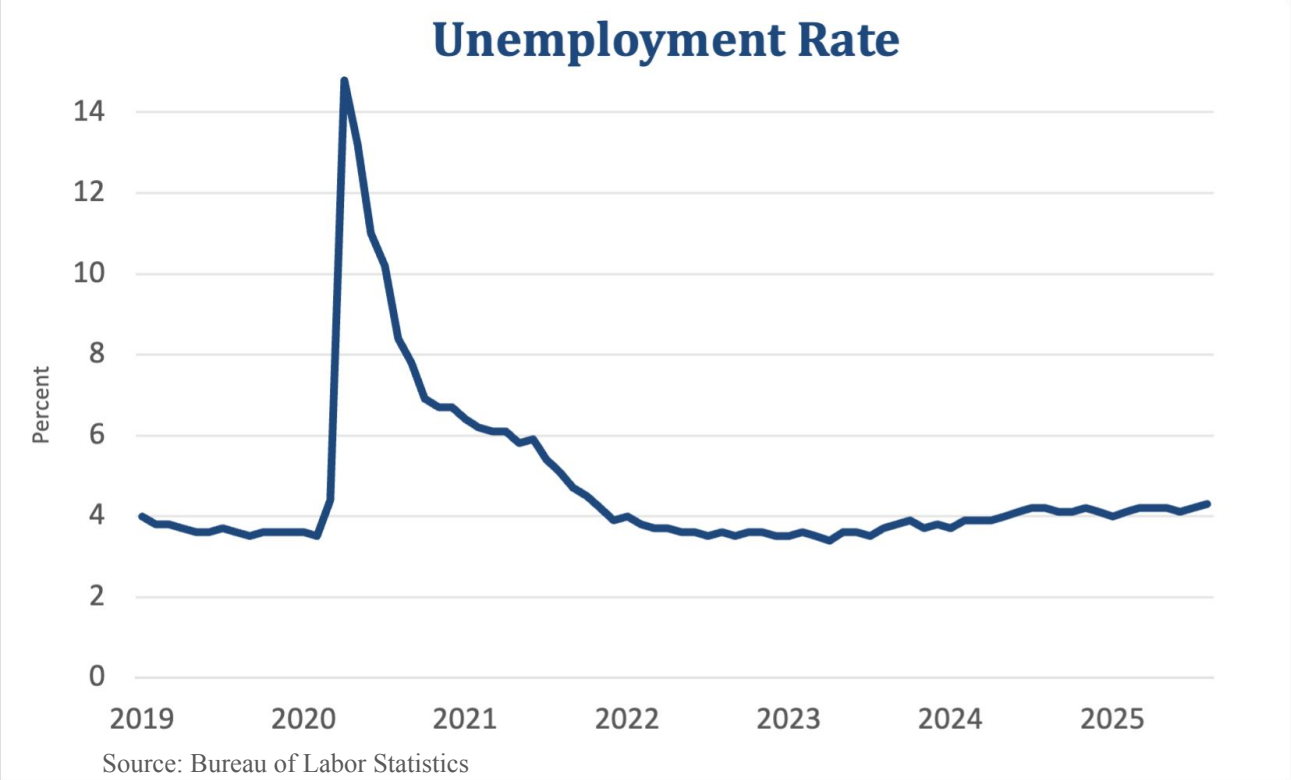


Source: Bureau of Economic Analysis

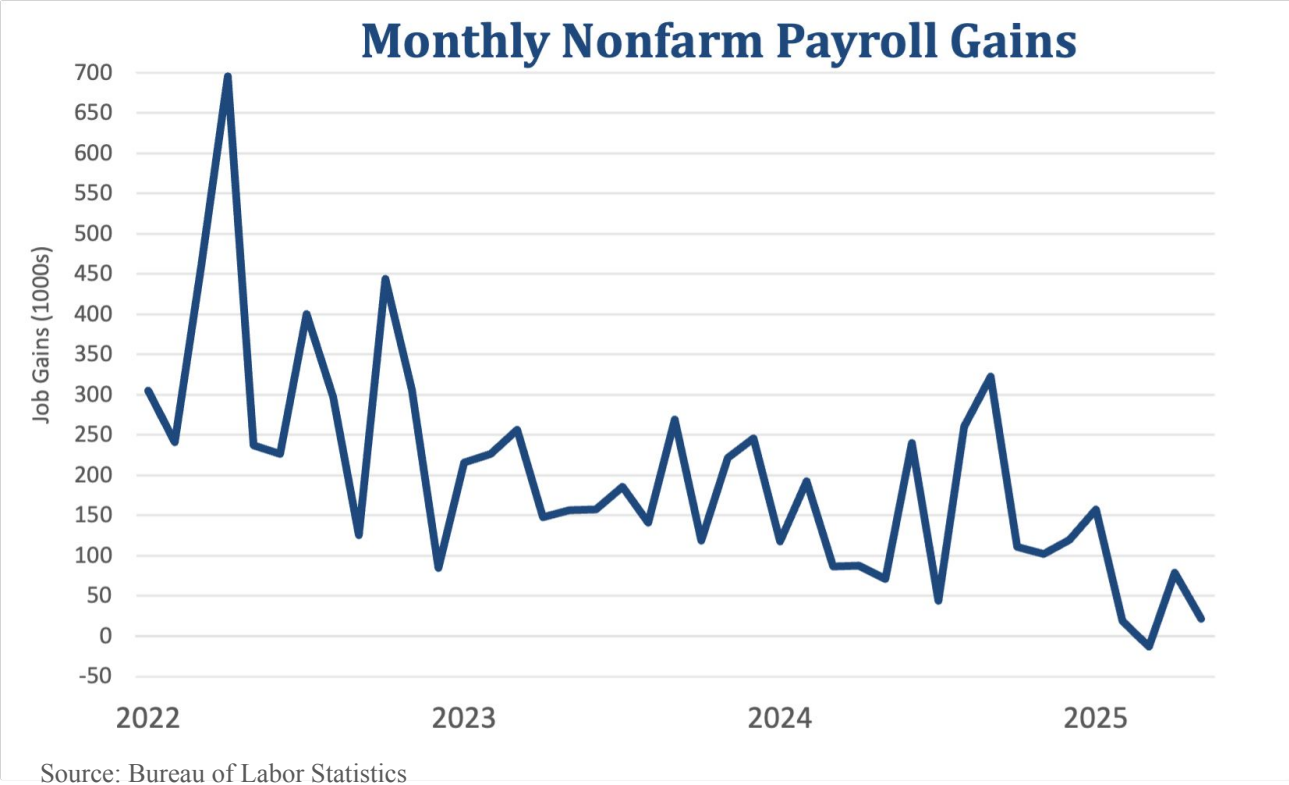


Labor

Unemployment is rising

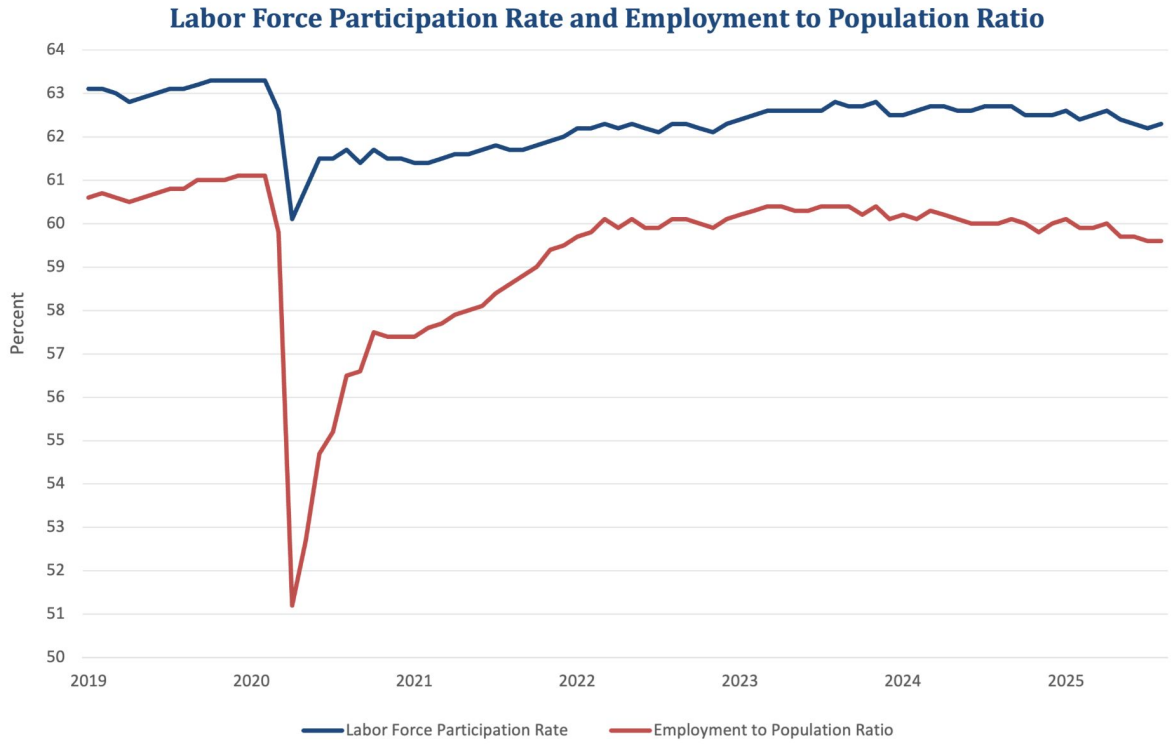


Nonfarm payrolls gains have slowed



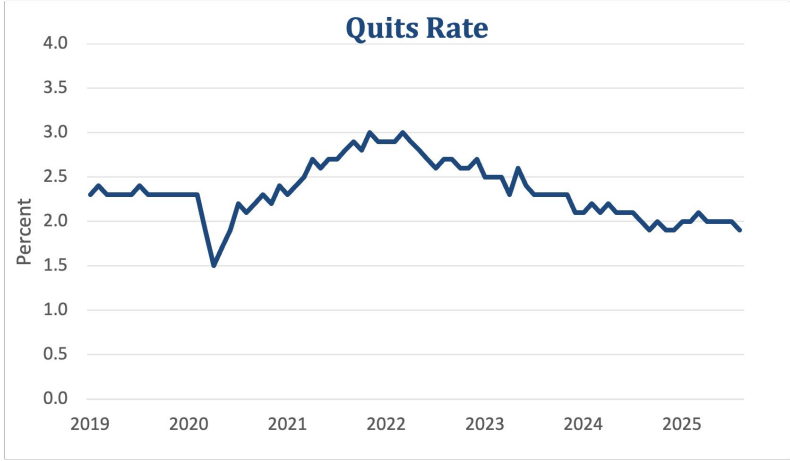
Source: Bureau of Labor Statistics

Labor force participation is falling

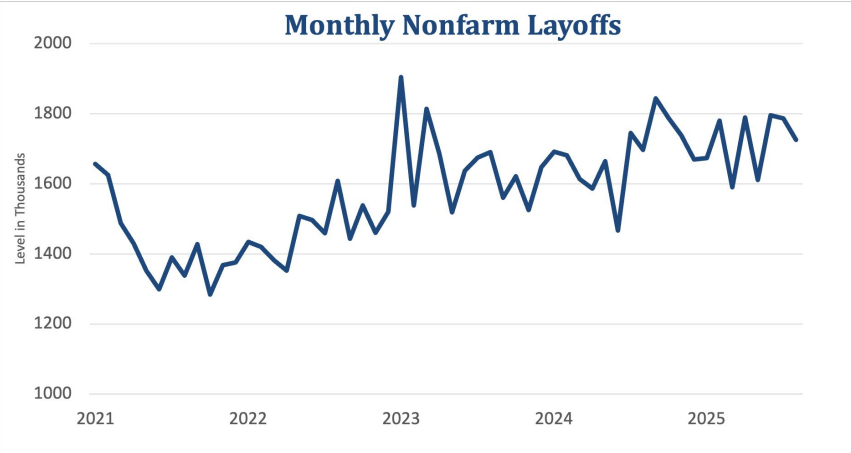


Source: Bureau of Labor Statistics

Quits and layoffs remain low

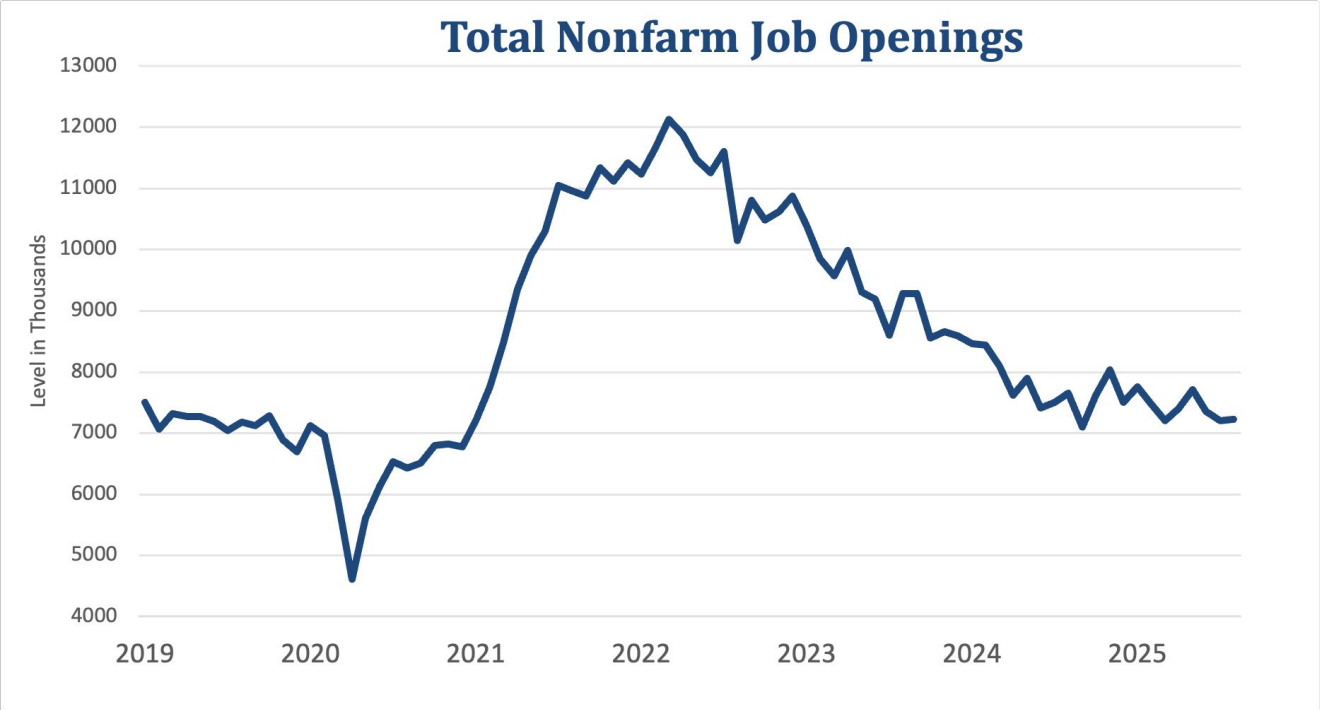


Source: Bureau of Labor Statistics



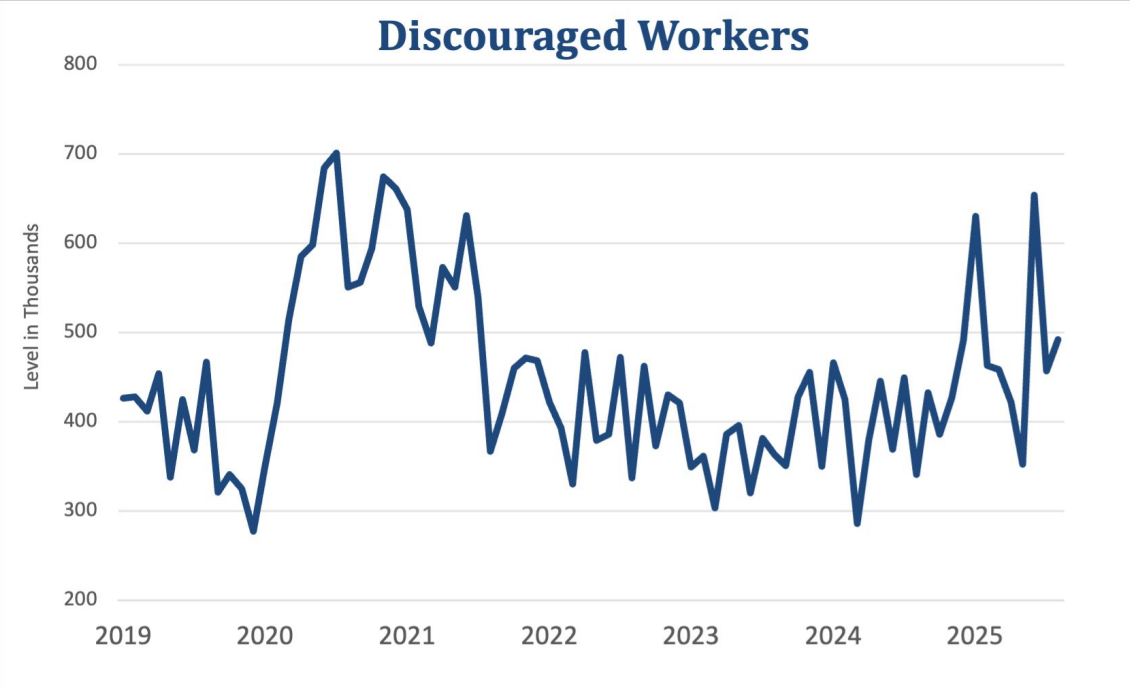
Source: Bureau of Labor Statistics

Job openings are at their lowest since 2021



Source: Bureau of Labor Statistics

Discouraged workers are rising



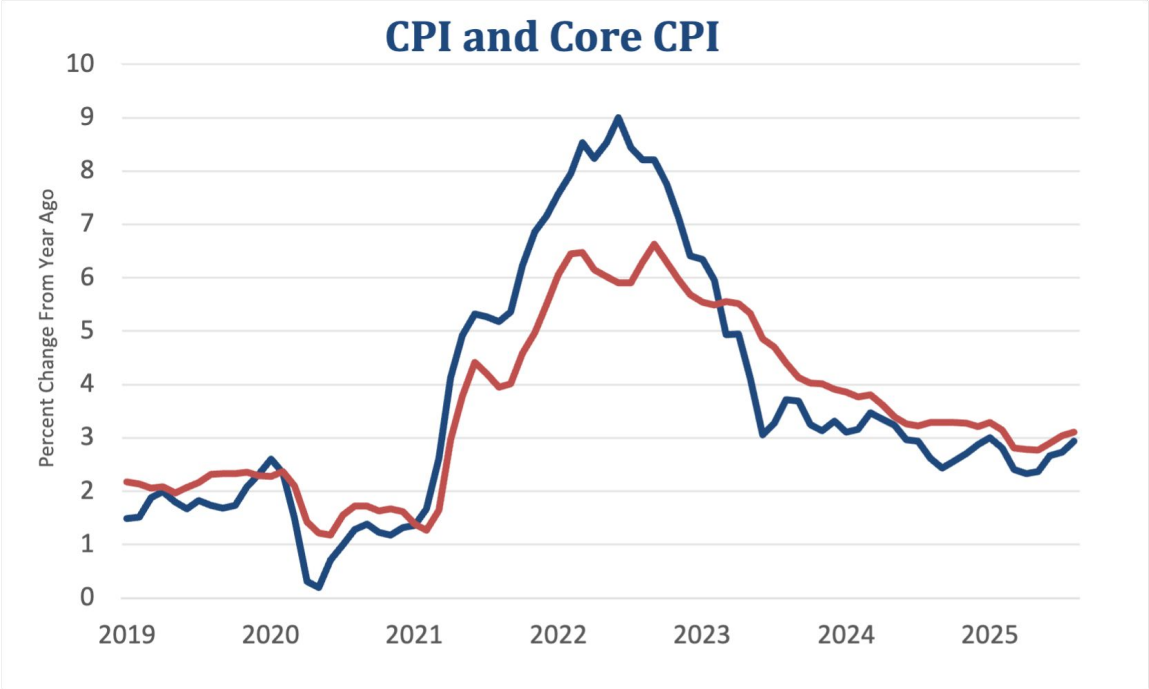
Source: Bureau of Labor Statistics

Labor Conclusion

- **Both labor supply and demand are showing weakness; demand emerges as a more pressing concern**
- **A rate cut of 25 bps can support further feeble labor demand and mitigate greater risk**

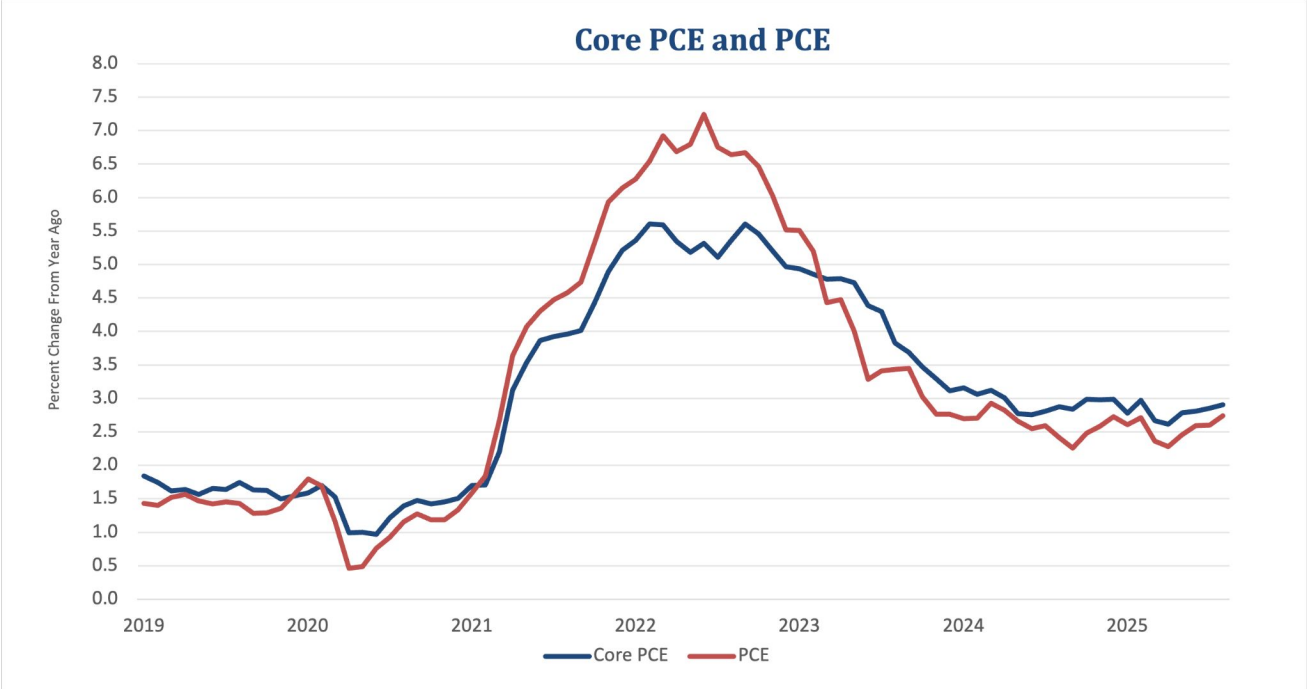
Prices

Inflation has accelerated



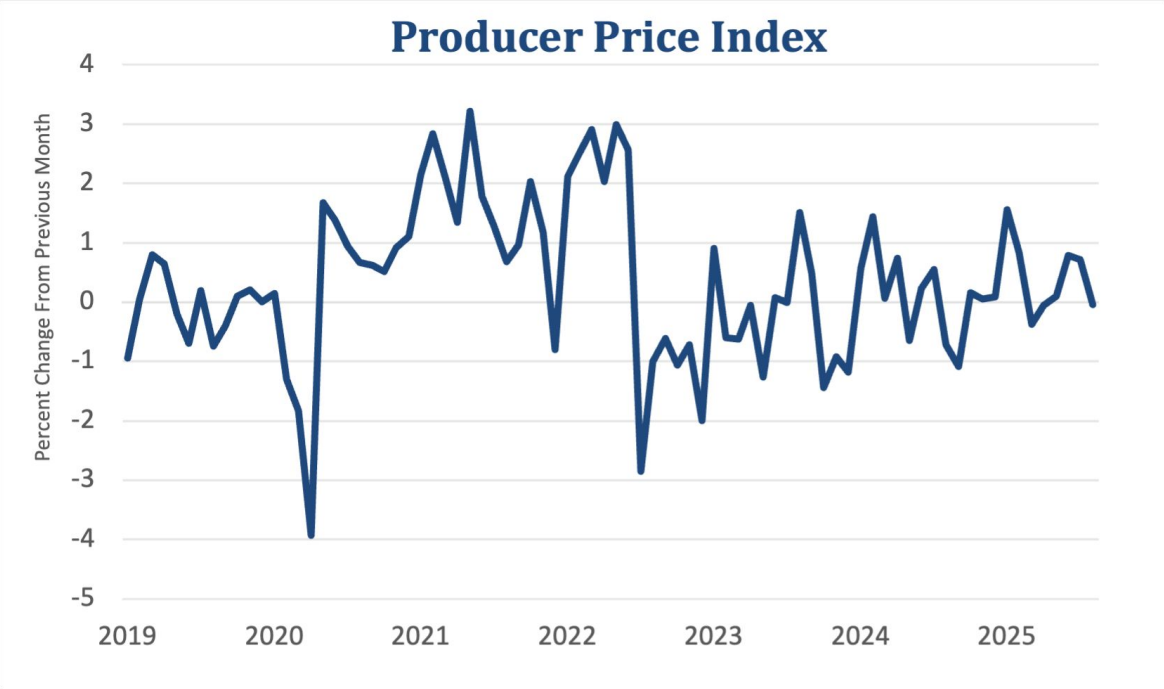
Source: Bureau of Labor Statistics

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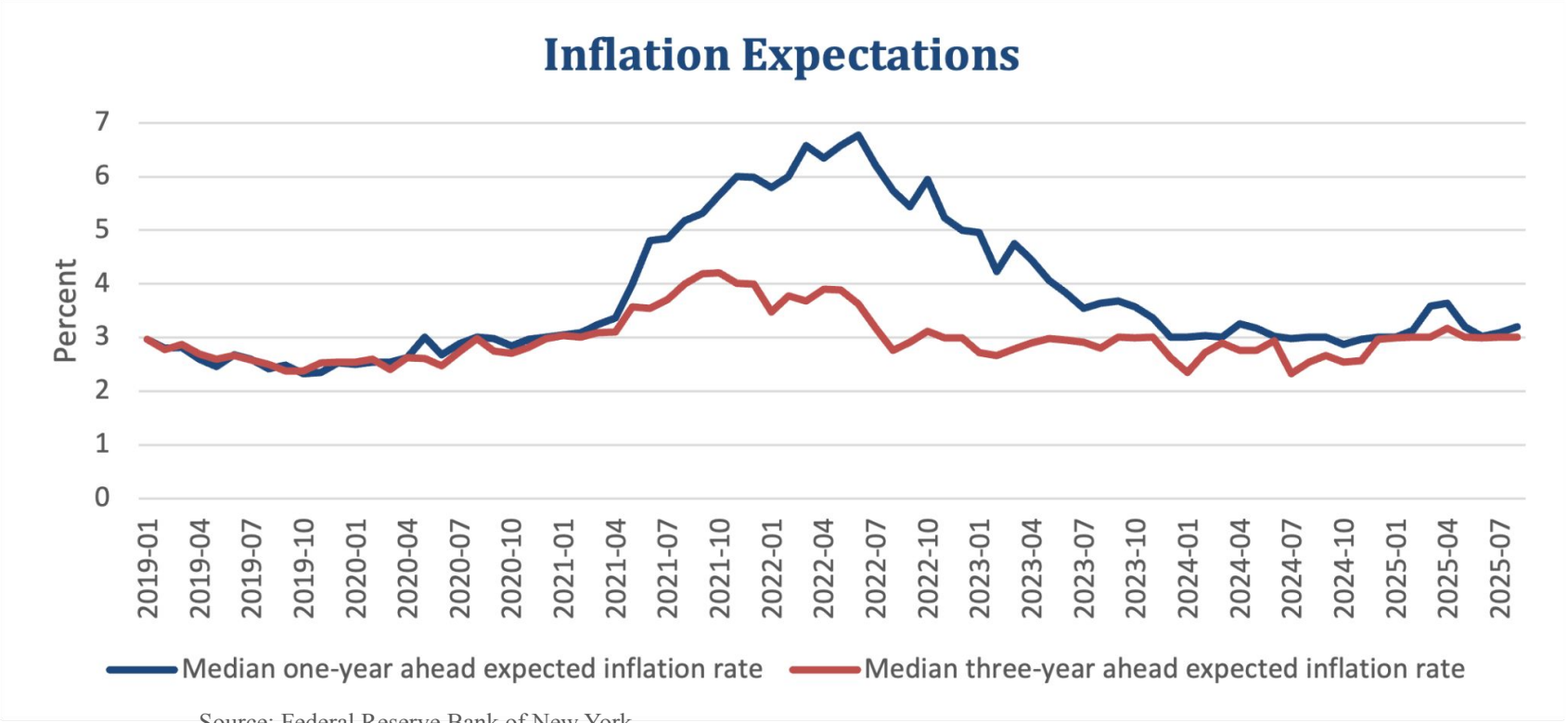
Source: Bureau of Economic Analysis

Input prices are volatile



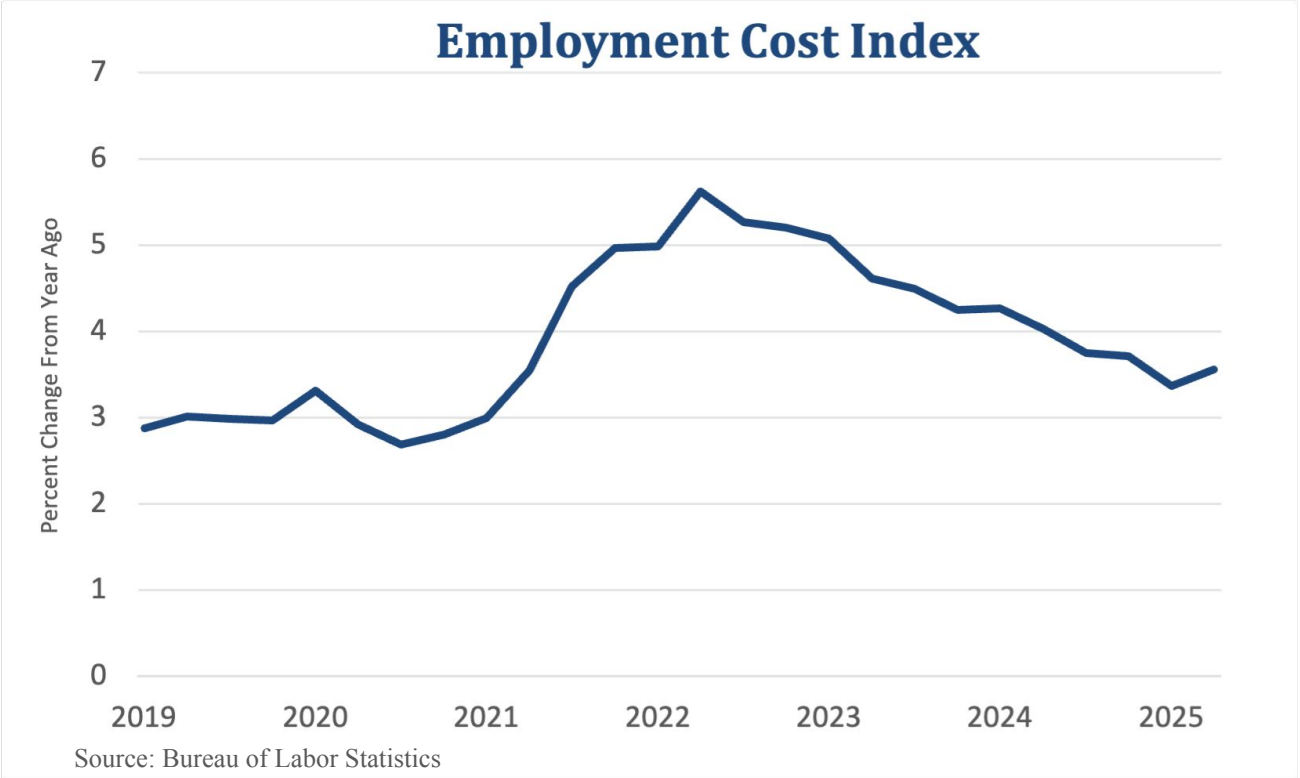
Source: Bureau of Labor Statistics

Inflation expectations remain anchored



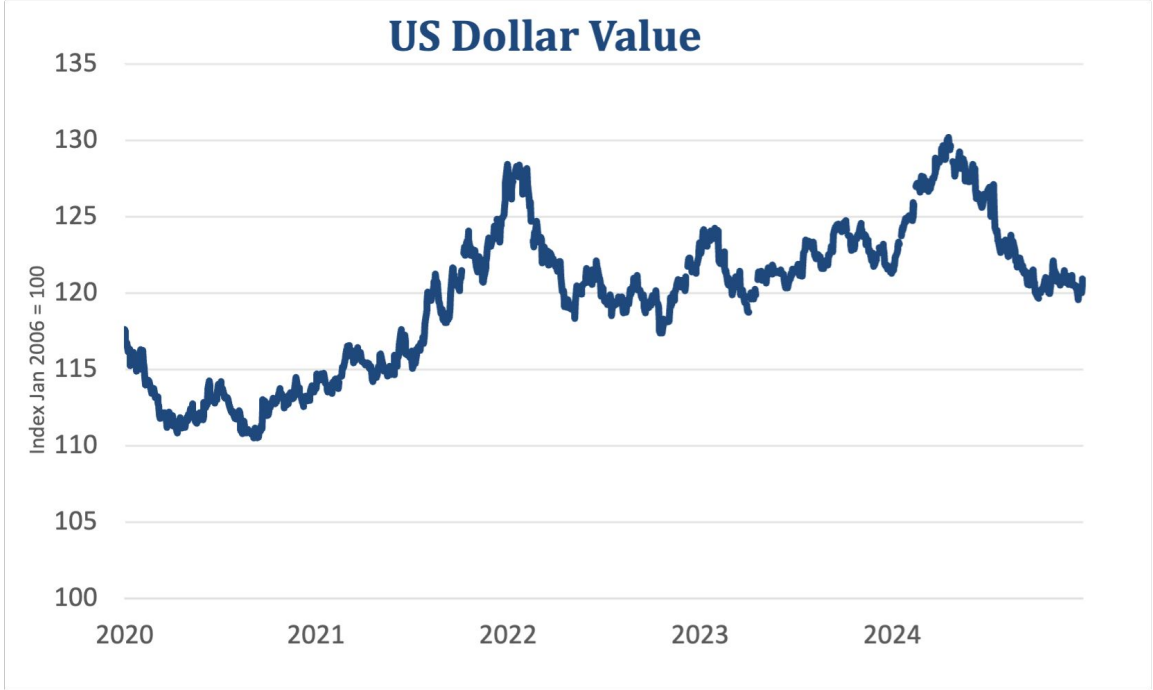
Source: Federal Reserve Bank of New York

Wage growth has cooled



Source: Bureau of Labor Statistics

US dollar has lost value in 2025



Source: Board of Governors of the Federal Reserve System

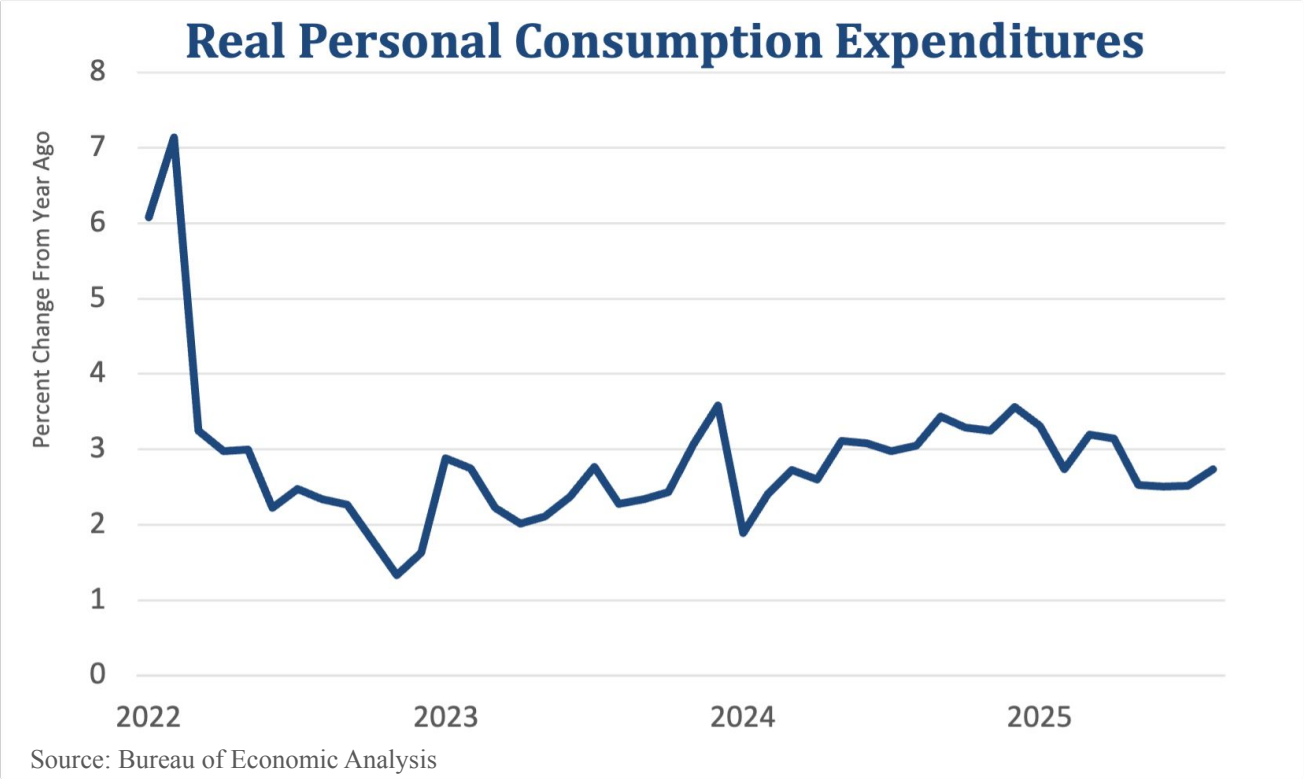
Prices Conclusion

- **Wage growth and inflation expectations are stabilizing, however price inflation metrics complicate the story.**
- **Nonetheless, there is still enough leeway for a 25 bp rate cut, while remaining watchful of tariff shocks.**



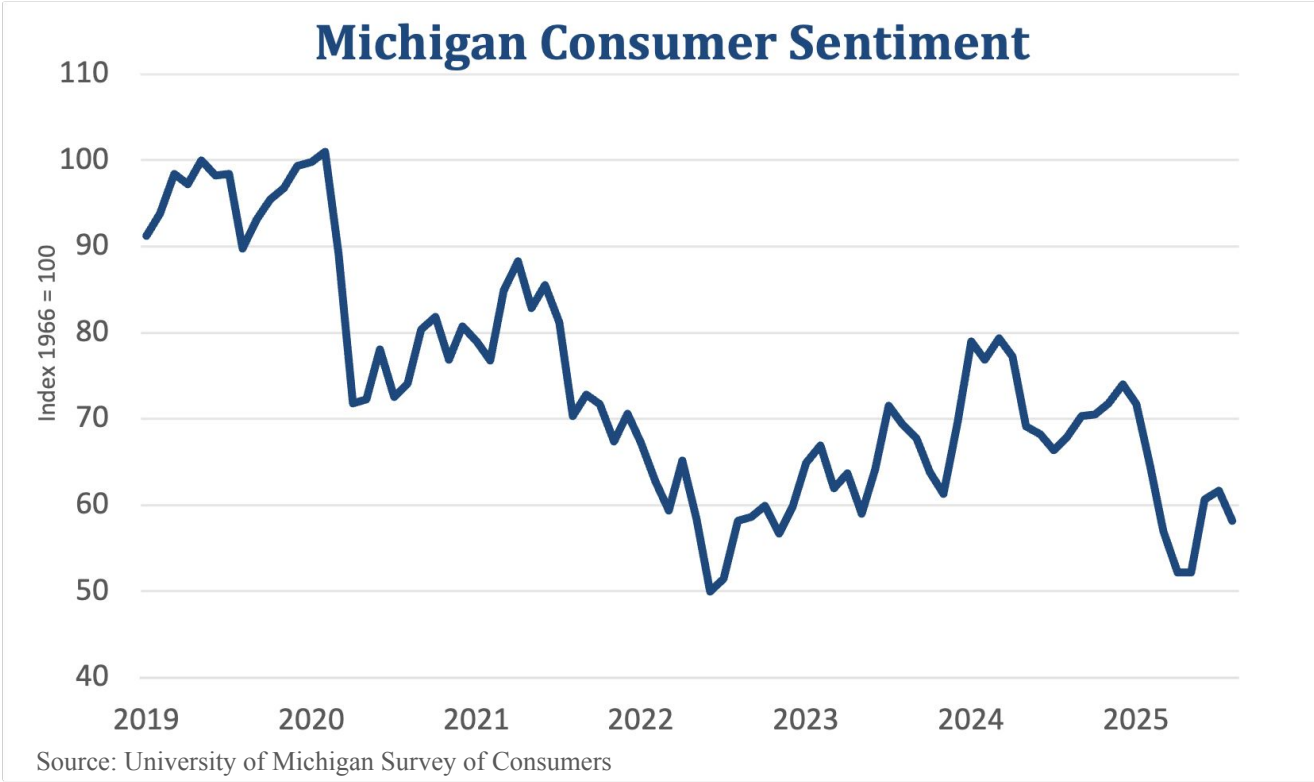
Financial

Spending has remained healthy



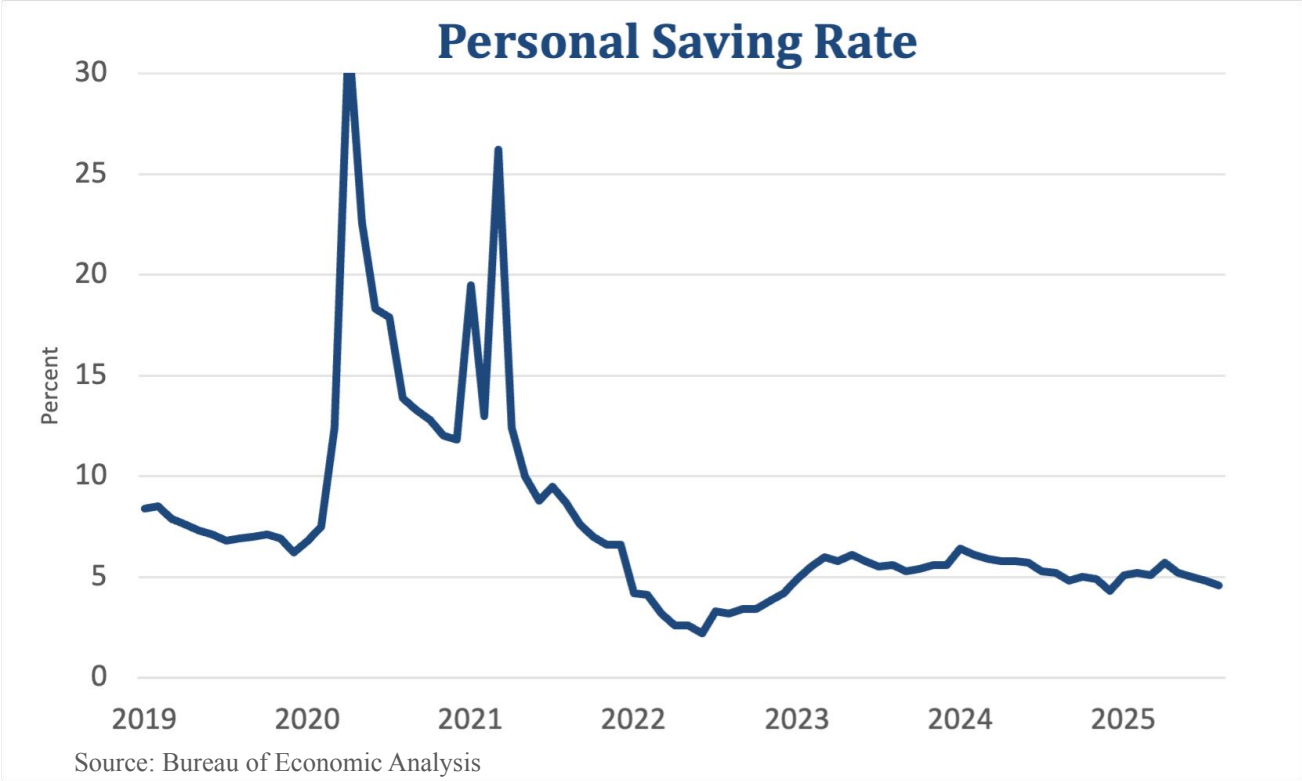
Source: Bureau of Economic Analysis

Consumer sentiment has plummeted



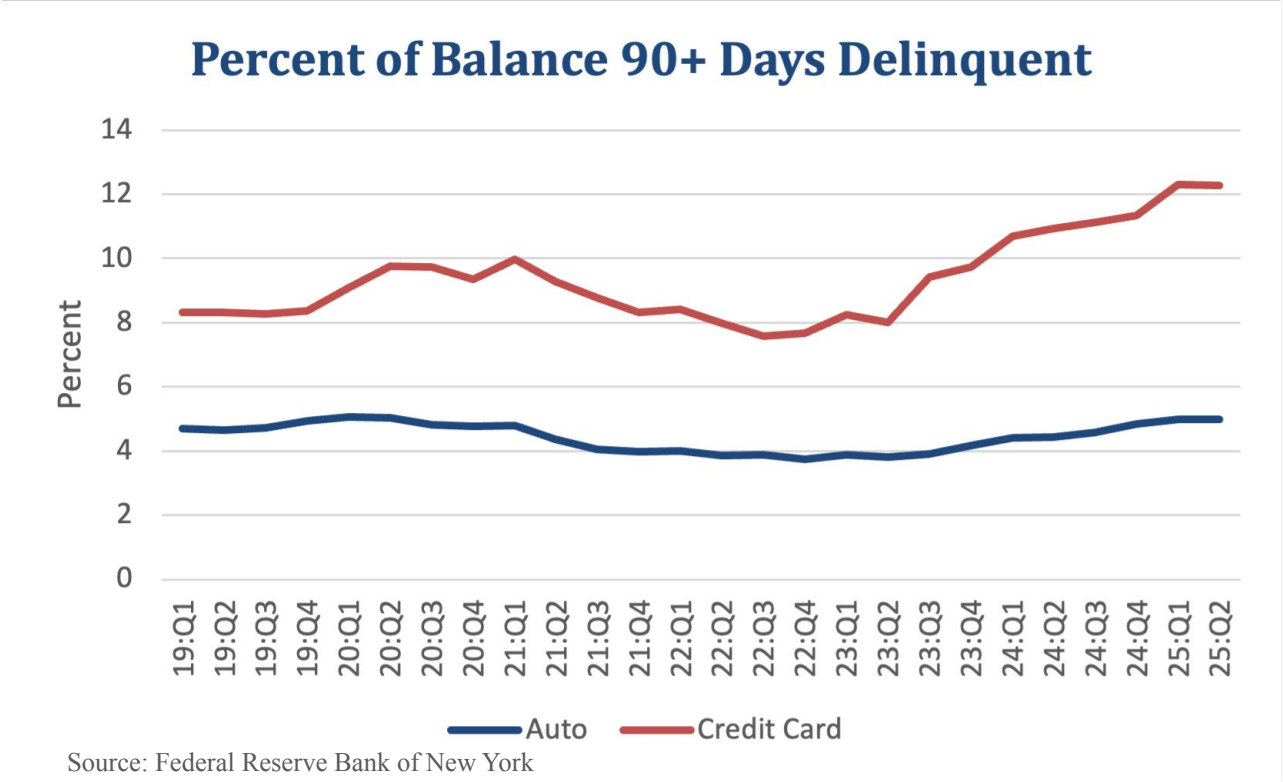
Source: University of Michigan Survey of Consumers

Consumers still have pandemic savings



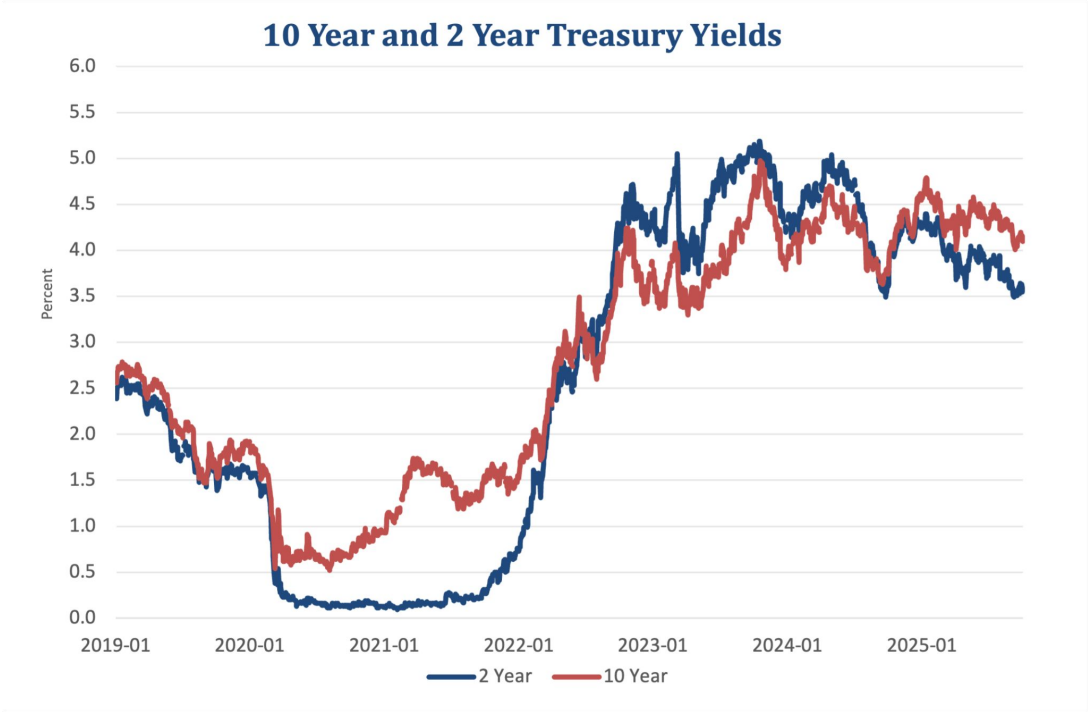
Source: Bureau of Economic Analysis

Delinquency rates are elevated but stable



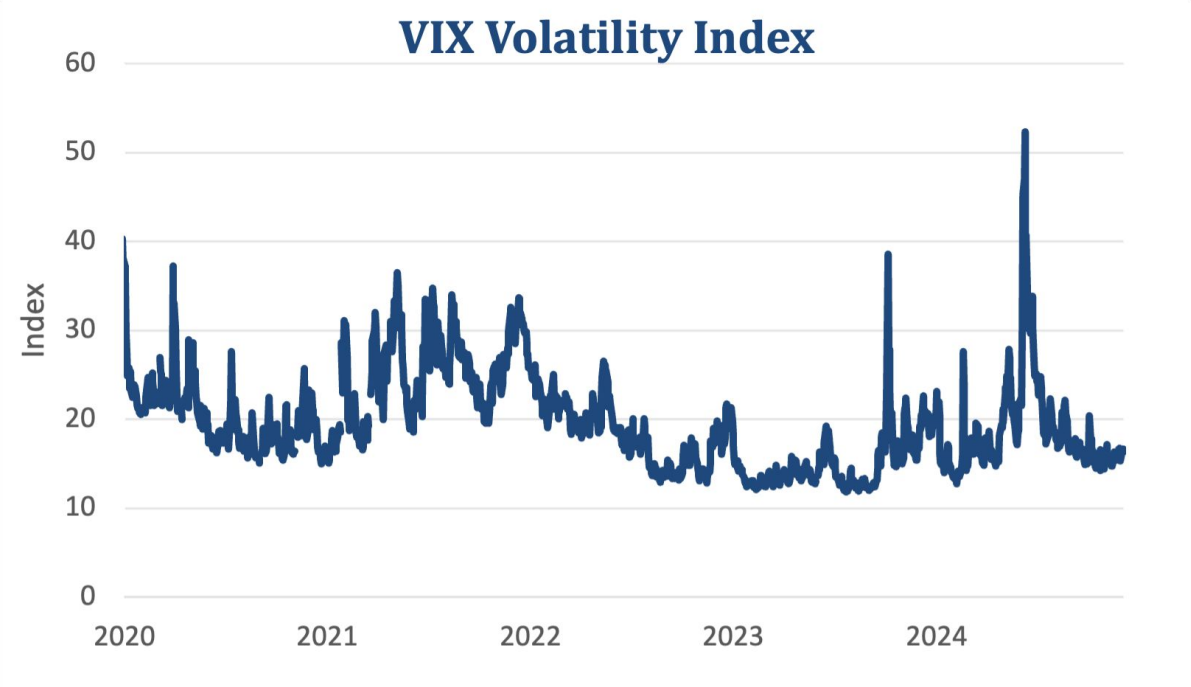
Source: Federal Reserve Bank of New York

Treasury yields have fallen



Source: Board of Governors of the Federal Reserve System

Market volatility is low



Source: Chicago Board Options Exchange

Recommendation

Monetary policy recommendation

The committee recommends lowering the Federal Funds rate by 25 basis points to a range of 3.75-4.00%